

Done!



UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Advanced Level

ECONOMICS

Paper 3 Multiple Choice (Supplement)

9708/32

October/November 2009

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, highlighters, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zarak Mughtay

Solved with reasons

This document consists of **12** printed pages.



- 1 The schedule shows the total utility derived by a consumer of a good X at different levels of consumption.

quantity of X consumed	1	2	3	4	5	6	7	8
total utility (units)	28	40	50	58	64	68	71	73

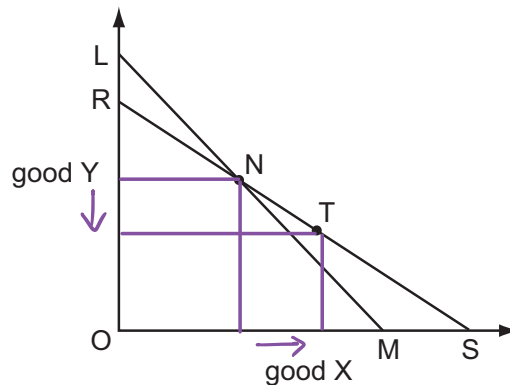
The consumer obtains two units of satisfaction from the last cent she spends on each good that she purchases.

What is the maximum number of units of X that she will consume if the price of X is 6 cents?

- ☒ A 2 B 5 C 7 D 8
- Handwritten notes:*
 1 cent : 2 units
 6 cents : x
 $x = 12$

- 2 In the diagram, an individual initially chooses combination N on budget line LM.

An increase in his money income accompanied by an increase in the price of good Y causes his budget line to shift to RS, and he now chooses combination T.



How does this affect his economic welfare?

- A He is definitely better off because his money income has increased. *(If real income ↑, not money income)*
- B He is definitely worse off because he has to pay more for good Y. *NO*
- ☒ C He is better off since combination T, which he now chooses, was not previously available to him. *no need of that combination*
- D He is worse off since combinations of X and Y along LN are no longer available to him.

- 3 Which statement describes a situation in which a rise in input of factor X, all other factors being constant, results in no change in a firm's output?

- (MA theory)* A There are diminishing returns to factor X. *MP_L ↓ TP ↑*
- B Returns to scale are constant. *same proportion of input and output*
- C There are diseconomies of scale. *Average cost ↑*
- ☒ D The marginal product of X is zero. *TP = max (MP = 0)*

Remember $MU = 0, TU = \max$
 $MR = 0, TR = \max$

'MR = price'

3

$$MRP = MP \times MR$$

- 4 What could cause a perfectly competitive firm's marginal revenue product of labour curve to shift to the right?

A an increase in wages (movement)

B a higher rate of sales tax

C an increase in labour supply

☒ D a rise in the price of the final product

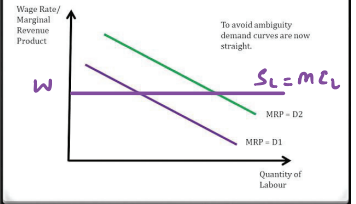
Supply factor

Shifting the Labour Demand Curve

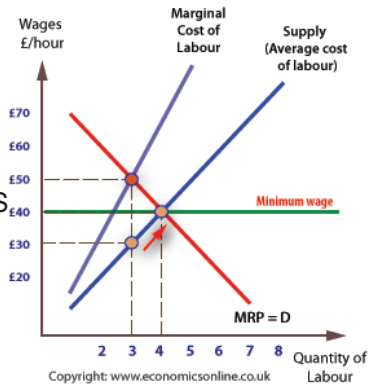
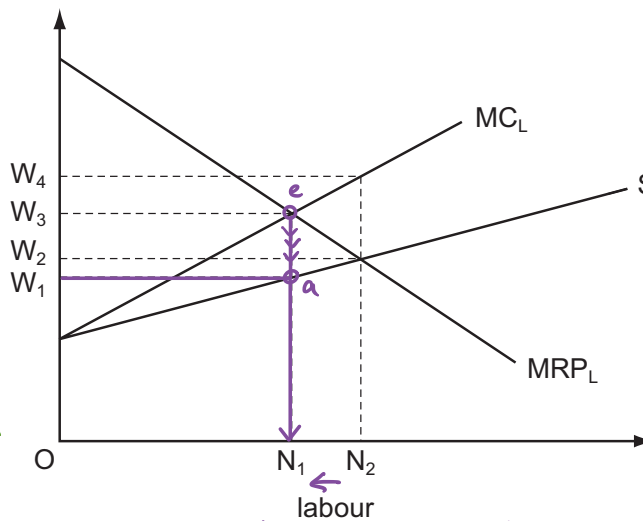
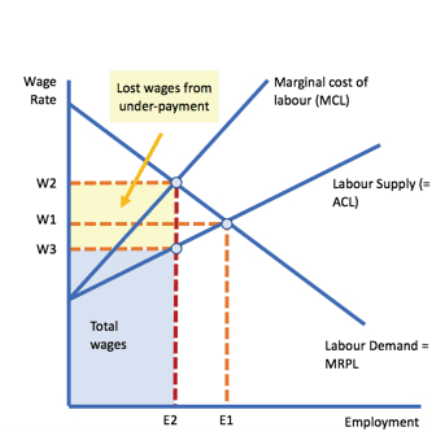
Shift to the right if the MRP of labour increases. (i.e. if marginal product of labour/or marginal revenue increases).

Eg. The demand for car assembly workers will increase if the productivity of car assembly workers rises. (increased training/price of output rises due to increase in car demand).

Shifts in Demand Curve for Labour



- 5 In the diagram, MRP_L is a firm's marginal revenue product of labour curve, S is its supply of labour curve, and MC_L its marginal cost of labour curve.

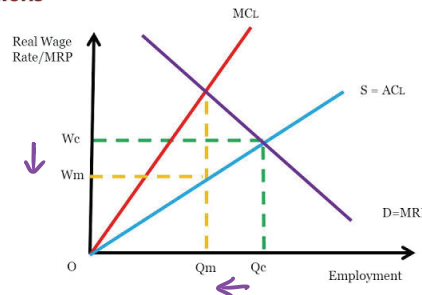


Bilateral monopoly or monopsonist union

Assuming profit maximisation, how many workers will the firm employ and what wage will it pay?

	number employed	wage
A	N_1	W_3
☒ B	N_1	W_1
C	N_2	W_2
D	N_2	W_4

Monopsony in a Market without Trade Unions



MCQ '6'

Wage differential

The committee on fair wages recommended that wage differentials should be established on the basis of certain considerations:

- The degree of skill
- The strain of work
- The experience involved
- The training required
- The responsibility undertaken
- The mental and physical requirement
- The disagreeableness of the task
- Hazards
- Fatigue involved

- 6 What is an example of a wage differential that compensates for the disadvantages associated with particular jobs?

A male workers earning more than female workers in the same job

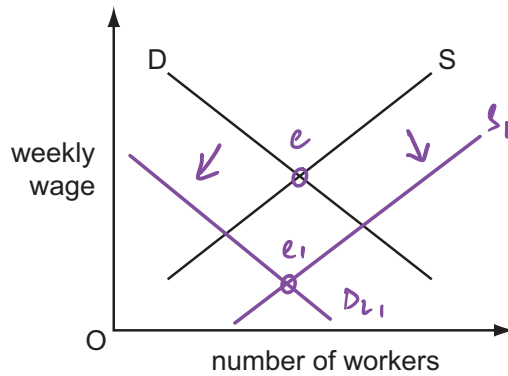
B the tendency for wage rates negotiated by trade unions to exceed those for non-unionised labour

☒ C labourers on off-shore oil rigs earning more than those employed on-shore

D government office workers being paid more than private sector office workers

Wage differential is a term used in labour economics to analyze the relation between the wage rate and the unpleasantness, risk, or other undesirable attributes of a particular job.

- 7 The diagram shows the initial position of a labour market.



Demand ↓
Supply ↑
Demotivated employers
More workers available
Less number of hours to be worked!

The government introduces a law reducing the statutory working week from 39 hours to 36 hours.

How will this affect the supply and demand curves in the diagram?

	employers' demand curve	workers' supply curve
A	shifts to right	shifts to left
B	shifts to right	shifts to right ✓
C	shifts to left ✓	shifts to left
D	shifts to left ✓	shifts to right ✓

For knowledge:-

Statutory holidays are not the same thing as annual employee vacation. Statutory holidays include New Year's Day, Family Day, Good Friday, Victoria Day, Canada Day, BC Day, Labour Day, Thanksgiving Day, Remembrance Day, Christmas Day and any other holiday prescribed by regulation

- 8 The table shows the inputs of the two factors of production, capital and labour, needed to produce varying levels of output.

1 : 2

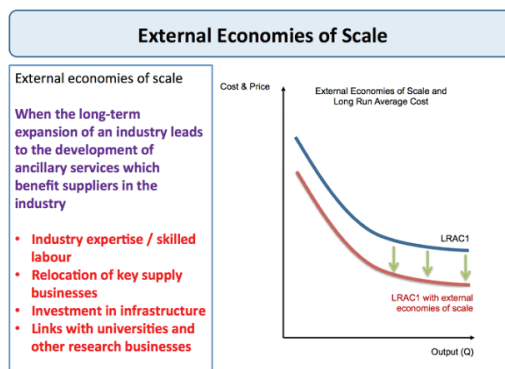
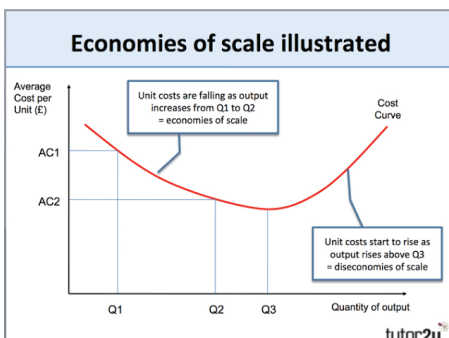
output	capital	labour
100	5	10
200	8	16
300	14	28
400	20	40
500	26	52

Less input, more output ←

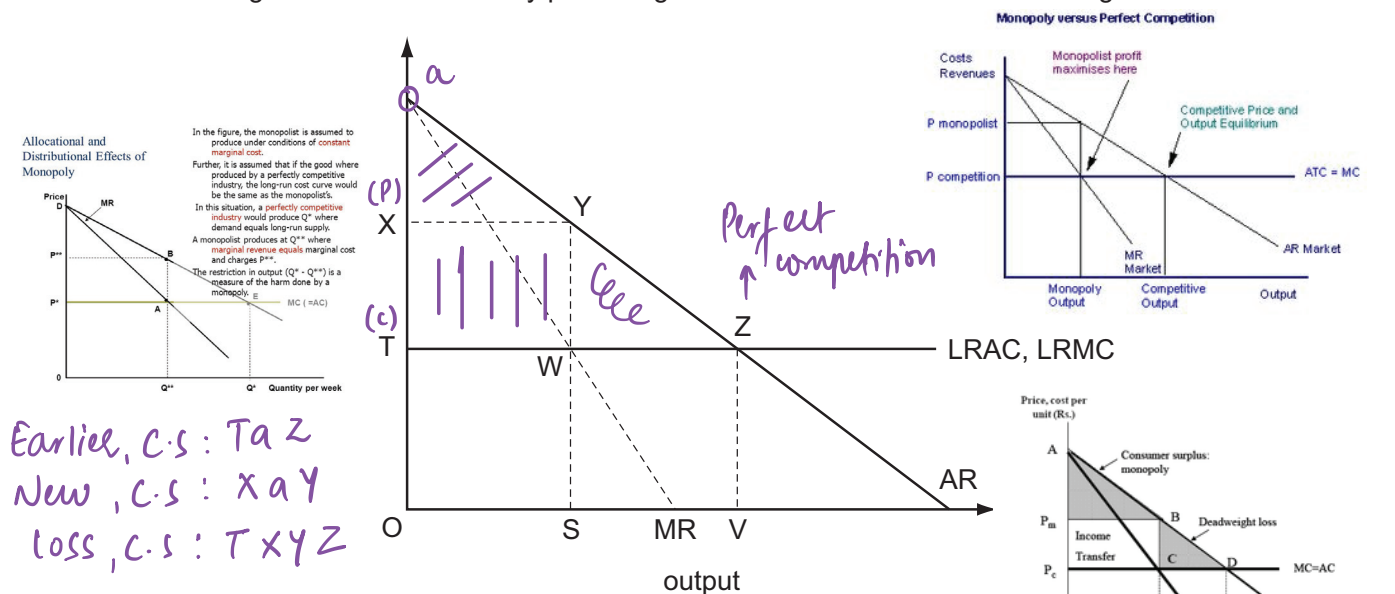
Economies of Scale

Over which output range do increasing returns to scale occur?

- A** 100 to 200 **B** 200 to 300 **C** 300 to 400 **D** 400 to 500



- 9 The diagram shows an industry producing under conditions of constant average costs.



- 10 The price elasticity of demand for a firm's product is zero. perfectly inelastic demand

What will be the effect on the firm's revenue if it increases its price by 5%?

A Its revenue will be unchanged. (Unitary)

☒ B Its revenue will increase by 5%.

C Its revenue will decrease by 5%.

D Its revenue will fall to zero. Perfectly elastic demand

Perfectly Inelastic Demand ($P_{ed} = 0$)

If the co-efficient of price elasticity of demand = zero, demand is perfectly inelastic i.e. demand does not vary with a change in price

- A perfectly inelastic demand curve is an extreme case for it implies that consumers are willing and able to pay any price for the product. If supply falls, equilibrium market price can rise without any contraction in the quantity demanded



Perfectly Elastic Demand ($P_{ed} = \text{infinity}$)

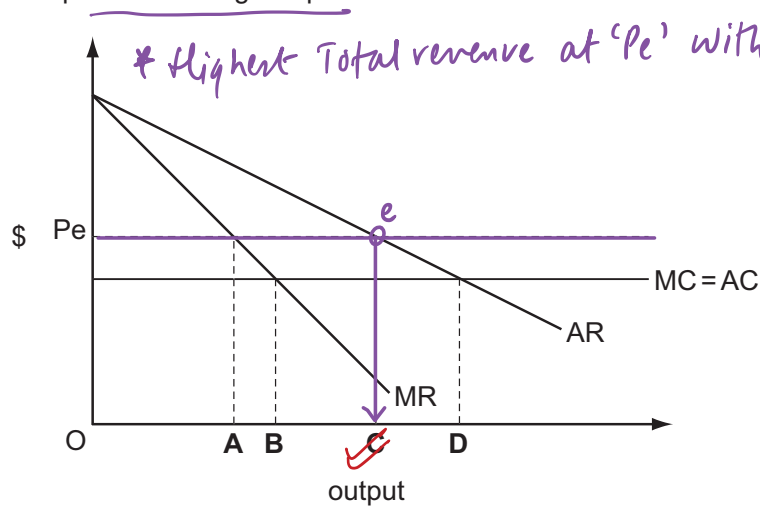
If the co-efficient of PED = infinity, then demand is perfectly elastic – there is one price at which consumers are prepared to pay

- If demand for a product is **perfectly elastic**, a change in market supply (shown on the right as an outward shift of supply) will not lead to any change in the equilibrium price. This demand curve applies to highly **competitive markets** where no supplier has any "pricing power"

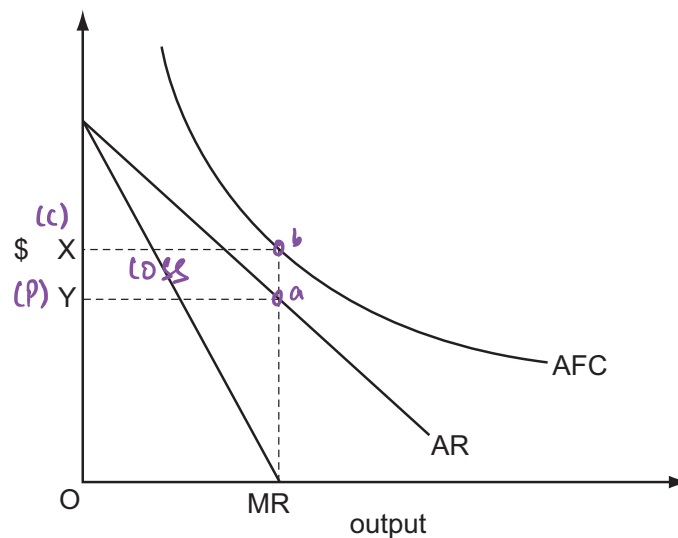


- 11 The diagram shows the short-run position of a monopolist who believes that, in the long run, excessive profits might attract new entrants to the industry.

If the monopolist believes that at prices above P_e new competitors would enter, which output would he choose to protect his long-run profits?



- 12 The diagram shows the cost and revenue curves of a monopoly producer whose only cost of production is a fixed cost.



What will such a monopolist do?

- A** set a price of OX in the short run and the long run, *X determines cost, not price*
- B** set a price of OY in the short run and the long run *can't survive*
- C** set a price of OX in the short run, but discontinue production in the long run *Reason of option 'A'*
- D** set a price of OY in the short run, but discontinue production in the long run
- ↓
As it can't cover its costs

- 13 A country's steel producers are members of a cartel. Each member is allocated a production quota, and initially produces the maximum allowed under its quota.

What will be the effect on total steel production and the industry's total profits of allowing the producers to trade the quotas among themselves?

	effect on production	effect on total profits
A	increase	increase ✓
B	increase	no change
☒ C	no change ✓	increase ✓
D	no change ✓	no change

* No change on production as trade in quotas are among themselves

* Quota → output ↓ Prices ↑ Profits ↑

- 14 What could prevent a market economy achieving allocative efficiency? (society point of view)
- A disagreement among consumers over resource allocation, allocation is done by X-MEN, not consumers
- B inequalities in the distribution of income and wealth (macro)
- C an inability to produce free goods (no one can)
- ☒ D an inability to produce public goods (free rider problem)

- 15 The information in the table is taken from a country's national income accounts.

	\$ million
national income	600
consumer spending	400
investment spending	80
government spending on goods and services	100
taxation	90
imports	120

$$AE = C + I + G + (X - M)$$

$$AE = Y$$

$$600 = 400 + 80 + 100 + (X - 120)$$

$$X = \$140$$

What is the value of exports?

- A \$100 million B \$120 million ☒ C \$140 million D \$230 million

- 16 Assuming a constant income velocity of circulation of money, if the rate of growth of the money supply is 8% and the average price level increases by 5%, what will be the approximate change in real output?

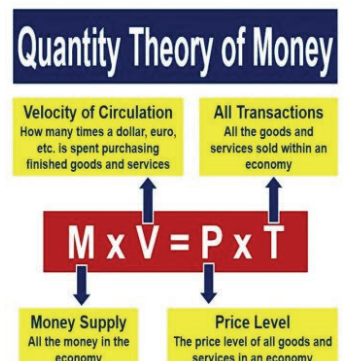
- A -3% ☒ B +3% C +8% D +13%

$$M \bar{V} = P T$$

$$+ 8\% \quad = + 5\%$$

$\boxed{+3\%} \Rightarrow$ required to make it equal

In monetary economics, the quantity theory of money states that the general price level of goods and services is directly proportional to the amount of money in circulation, or money supply



$M^s \uparrow$ & $\downarrow$ $C \uparrow$ $I \uparrow$ $AD \uparrow$ Growth

8

Availability of resources

17 According to monetarist theory, what will be the short-run effect of an unexpected increase in the money supply?

$\downarrow$ Depreciation

A an appreciation of the foreign exchange rate

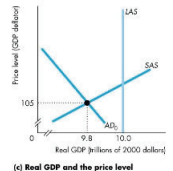
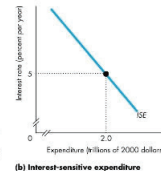
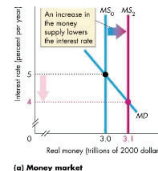
☒ B an increase in employment

C an increase in real wages depends on rate of inflation

D an increase in the rate of interest $M^s \uparrow$ & $\downarrow$

Short-Run Effects of Money on Real GDP, and the Price Level

An increase in the money supply in part (a) lowers the interest rate.



18 The table gives the national income of a country over six years.

Acceleration Theory

The principle of acceleration states that if demand for consumption goods rises, there will be an increase in the demand for factor of production, say machine, which is used to produce the goods. In other words, the accelerator measures the changes in investment goods industries as a result of changes in consumption goods industries.

K Kurihara, "The acceleration coefficient is the ratio between induced investment and an initial change in consumption."

year	national income (Y)
1	2100
2	2110
3	2125
4	2145
5	2160
6	2170

$\rightarrow 10$
 $\rightarrow 15$
 $\rightarrow 20$
 $\rightarrow 15^*$

According to the accelerator principle, in which year did net investment first fall to a level below that of the previous year?

A year 3

B year 4

☒ C year 5

D year 6

19 Out of any addition to national income, 20 % is spent on imports, 15 % is paid in taxes, 5 % is saved and the rest is spent on domestically-produced goods.

MPS

What is the value of the multiplier?

☒ A 2.5

B 5

C 6

D 20

MPM

MPT

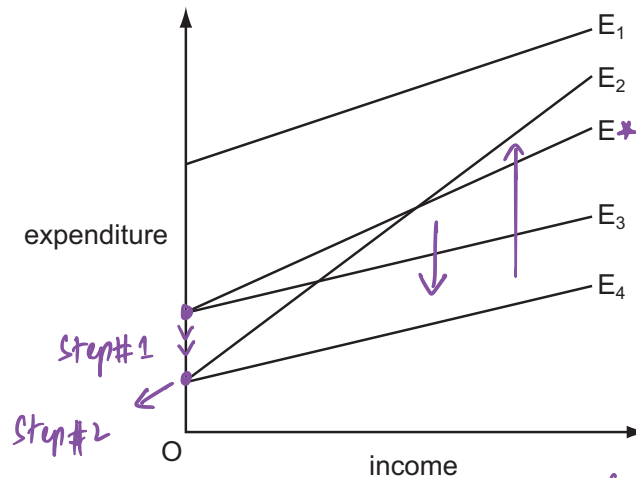
$$\text{Multiplier} = \frac{1}{\text{MPM} + \text{MPS} + \text{MPT}}$$

$$\downarrow \quad \downarrow \quad \downarrow$$

$$20\% + 5\% + 15\% = 0.4$$

$$\frac{1}{0.4} \Rightarrow 2.5$$

- 20 The diagram shows a number of expenditure functions. The original expenditure function is shown by E.



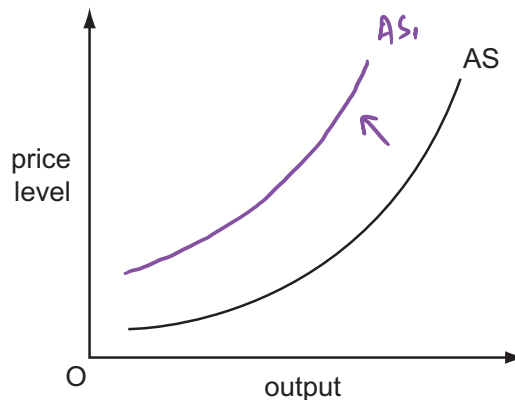
The government announces a decrease in government expenditure on goods and services and reduces the standard rate of income tax. *G_g ↓ (shifts down) (autonomous expenditure)*
Tax ↓ Disposable income ↑ C ↑ (induced expenditure)

Which line shows the new expenditure function resulting from these changes?

- A E₁ ☒ B E₂ C E₃ D E₄

(Tilt/pivot)

- 21 The diagram shows an economy's aggregate supply curve.



What is likely to cause the curve to shift to the left? *AS ↓*

- A improvements in technology *AS ↑*
 B schemes to increase the geographical mobility of labour *AS ↑*
 C an increase in investment due to a reduction in interest rates *AS ↑*
☒ D an increase in the marginal rate of income tax

↳ affects the cost

Sale of Bonds, $m^s \downarrow$ (funds received) ¹⁰

22 The government sells \$1 million of bonds to the commercial banks. It uses the proceeds from the sale to provide subsidies to sugar producers who pay them into their bank accounts.

Assuming that notes and coins in circulation remain unchanged, what will be the immediate effect on the assets and liabilities of the commercial banks?

	assets	liabilities
A	bonds +\$1 million reserves -\$1 million	unchanged
B	<u>bonds +\$1 million</u>	<u>deposits +\$1 million</u>
C	reserves -\$1 million	deposits -\$1 million
D	unchanged	unchanged

→ [no concept
of reserves
applicable]

→ Not possible

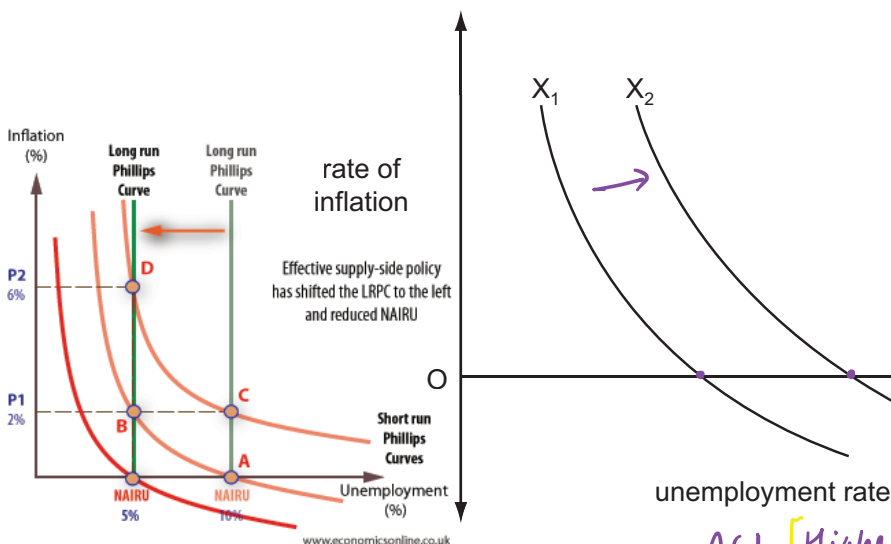
Demand and supply of loans (Do read notes booklet)

23 According to loanable funds theory, what will cause the rate of interest to rise?

Demand for loans $\uparrow$
Supply of loans $\downarrow$

- ☒ **A** an increase in the rate of investment Demand for loans ↑
- B** an increase in liquidity preference Keynesian theory
- C** an increase in the level of savings more saving, supply of loans ↑, & ↓
- D** an increase in the supply of money M^s ↑, & ↓

24 In the diagram, the curve X_1 shows an economy's initial trade-off between inflation and unemployment. *Phillips curve*



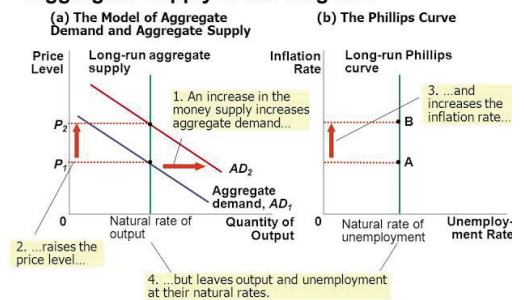
What could cause the curve to shift to X_2 ?

- ☒ A an increase in the natural rate of unemployment (NAIRU)
- ☐ B a decrease in the money supply AD factor, movement
- ☐ C the expectation of a decrease in the inflation rate (inward)
- ☐ D an increase in the rate of interest AD factor, movement

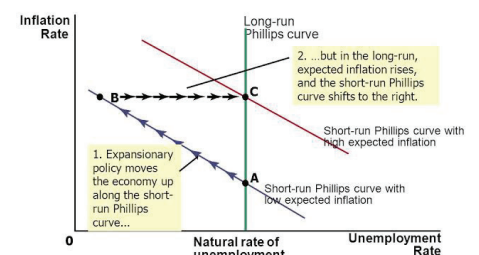
AS ↓ [Higher inflation and Unemployment]

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How the Phillips Curve is Related to the Model of Aggregate Demand and Aggregate Supply in the long run



How Expected Inflation Shifts the Short-Run Phillips Curve...



Proving option 'B' wrong

- 25 An economy's GDP per capita grows over a certain period of time, but its development when measured by the Human Development Index remains unchanged.

What could explain the difference?

Human Development index :-

- A longer working hours (under GDP)
 B increased pollution (can't be measured)
 C an increased crime rate (issue of recording)
 D a decline in life expectancy

- * Real GDP per head
 * Life expectancy, longevity
 * Education enrollment, schooling years

- 26 What is most likely to be the impact on economic growth and on the rate of inflation in developed economies of an inflow of migrant labour from developing economies?

	impact on economic growth	impact on rate of inflation
A	increase ✓	increase
B	increase ✓	decrease ✓
C	decrease	increase
D	decrease	decrease ✓

⇒ low wages
 cost ↓
 AS ↑ ⇒ output ↑
 Prices ↓ growth ↑

- 27 An economy has unemployed resources and a flexible exchange rate. It lowers interest rates below the level prevailing in other countries.

What will be the likely effect on the level of domestic demand for goods and services and on the demand for the country's exports?

	domestic demand	export demand
A	increase ✓	increase ✓
B	increase ✓	decrease
C	decrease	decrease
D	decrease	increase ✓

↓, save ↓, spend ↑, C ↑, Domestic demand ↑
 ↓
 Depreciation
 X prices ↓, M prices ↑
 BOT surplus

* Interest rate and exchange rate have a positive relationship.

- 28 Which policy is most likely to help to correct an adverse balance on the current account of the balance of payments?

A abolishing tariffs, M prices ↓, M(TE) ↑, adverse

B devaluing the currency, Marshall learner condition, J-curve

C reducing direct taxes Tax ↓, Disposable income ↑, C ↑, M(TE) ↑, adverse

D reducing indirect taxes Tax ↓, prices ↓, C ↑, M(TE) ↑, adverse

↓
 Devaluation
 X prices ↓, M prices ↑
 BOT surplus

$[G \downarrow, Tax \uparrow]$

$[R \downarrow]$

12

Target:- $AD \downarrow$

Target:- $AD \uparrow$

- 29 A government decides to pursue a more deflationary fiscal policy and a more reflationary monetary policy.

Which combination of changes in policy instruments is consistent with this?

	government expenditure	interest rate	taxation
A	decrease ✓	decrease ✓	increase ✓
B	decrease ✓	decrease ✓	decrease
C	increase	increase	decrease
D	increase	increase	increase ✓

Deflationary / Contractionary

Reflationary / Expansionary

- 30 An economy is operating at a point on its production possibility curve.

What is true about the way the economy's resources are being used at this point?

	allocatively efficient	productively efficient	socially desirable
A	possibly ✓	yes ✓	yes
B	yes	possibly	possibly ✓
C	possibly ✓	yes ✓	possibly ✓
D	yes	possibly	yes

* possibly / might be

Remember the dialogue:- All the points on the PPC are productively efficient, but only one point is allocatively efficient -----

* Allocative efficient or socially desirable, same thing!

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